We've always known how to fix it, now we can.

0 OF 10 DONE

Ten items to set the related-party rent up clean.

- [ ] **01** TODAY — Free

  ### Pull two or three fair-market-rent comparables

  Quick screenshots from MLS commercial, Kijiji commercial, or a one-line email from a Dryden or Sioux Lookout commercial realtor for similar warehouse/office space. Add a one-page memo noting that $2,200/mo predates the Headwaters arrangement and has been the negotiated rate for years.

- [ ] **02** TODAY — Free

  ### Confirm three things with Dad

  Property ownership entity (his name vs. a corporation), his HST registration status, and how utilities have historically been billed and metered. Friendly conversation, not a form.

- [ ] **03** THIS WEEK — Free

  ### Decide the utilities approach

  Two clean options: (a) Headwaters opens hydro/heat/internet accounts in its own name (cleanest long-term, switch when Dad has cleared out), or (b) Dad keeps the accounts and invoices Headwaters monthly with copies of the bills attached at cost. Pick one and write it down.

- [ ] **04** THIS WEEK — Free

  ### Agree the move-out and clearance schedule

  Dad's tools currently fill the interior. Set a clearance target together (not unilaterally) and, if there's a transition period of shared use, agree a prorated rent step (e.g. $1,100/mo while shared, $2,200/mo once cleared). Take photos of the space at clearance. The point is to match the financial picture to operational reality.

- [ ] **05** THIS WEEK — Free

  ### Pre-agree the 3-door garage rent

  Target $1,200–1,500/mo + utilities, written into the lease as a Right of First Refusal with 60-day activation notice. Lock the number now while leverage is balanced — once Headwaters is operationally embedded, the negotiation gets harder.

- [ ] **06** THIS WEEK — Free

  ### Pre-agree the house-next-door rent

  Same pattern as the garage. Target $1,500–2,200/mo + utilities, Right of First Refusal, 60-day activation. Worth pricing now even if you don't activate it for a year.

- [ ] **07** BEFORE THE FIRST CHEQUE — Free if DIY

  ### Draft the one-page lease

  Parties (Dad's legal name or his corp's name as Landlord; Headwaters Inc. as Tenant), premises (civic address + sq ft + what's included), term + renewal, rent ($2,200/mo plus utilities, due the 1st), utilities clause, permitted use ("commercial — aggregation, distribution, light warehousing, office"), insurance split, maintenance split, expansion options referencing items 05 and 06, termination terms, annual rent review clause.

- [ ] **08** BEFORE THE FIRST CHEQUE — ~$200 CAD/month

  ### Set up Headwaters' tenant insurance

  Contents and equipment + commercial general liability with Dad named as an additional insured. Roughly $200/mo through any Canadian commercial insurance broker.

- [ ] **09** BEFORE SIGNING — $400–600 CAD

  ### Have a local commercial lawyer review the draft

  Optional but recommended. An hour with a Dryden or Sioux Lookout commercial lawyer catches things and costs less than fixing them later. Tell them this is a related-party lease — they'll know what to look for.

- [ ] **10** DAY ONE — Free

  ### Sign the lease and file the working folder

  Five items in one folder: signed lease, market-rent memo + comparables, utilities decision document, expansion option summary, clearance schedule with photos. Sign before any rent moves. Folder name: Headwaters > Leases > Dad-warehouse > 2026-base.

CASH OUT BEFORE SIGNING

$400–$600 CAD

One-time: optional commercial-lease review by a local Dryden or Sioux Lookout lawyer.

RECURRING AFTER THAT

$200 CAD / month

Tenant insurance (contents + commercial general liability with Dad named as additional insured). Rent itself is $2,200 + utilities, tracked on the budget line.

WHY THE PAPERWORK MATTERS — RELATED-PARTY CRA NOTES

Related party. Landlord is Bobbie's father. Same arm's-length documentation rules apply as any other commercial lease — paperwork protects the deduction and the relationship.
Fair-market rent. $2,200/mo predates Headwaters; document that history plus two or three current comparables. Below-market is fine — Headwaters only deducts what it actually pays.
HST. Commercial rent is HST-taxable in Ontario. If Dad is registered (or registers voluntarily), Headwaters claims it back as an input tax credit — wash in cash, clean on paper. Confirm his status before the first invoice.
Written before the cheque. Get the lease signed and the working folder filed before the first rent payment moves. Easier to set up clean than to clean up later.